

## Multiple Choice

1. **Answer:** B

*Options:* A) 0.5; B) 125; C) 500; D) 0.8; E) 100

*Note:* Correct option: B - 125

2. **Answer:** A

*Options:* A) \$1.5 billion; B) \$8.5 billion; C) \$0.85 billion; D) \$15 billion; E) \$56.67 billion

*Note:* Correct option: A - \$1.5 billion

3. **Answer:** E

*Options:* A) the anticipated inflation rate plus the nominal interest rate; B) the nominal interest rate multiplied by the inflation rate; C) what one sees when looking at bank literature; D) the anticipated inflation rate minus the nominal interest rate; E) the nominal interest rate minus anticipated inflation

*Note:* Correct option: E - the nominal interest rate minus anticipated inflation

4. **Answer:** A

*Options:* A) Overproduction and wastage of crops; B) Lack of alternative employment; C) Excessive government intervention in agriculture; D) Inefficient farming methods; E) Low income of farmers

*Note:* Correct option: A - Overproduction and wastage of crops

5. **Answer:** A

*Options:* A) It will not be unbiased or efficient; B) It will be consistent and efficient but not unbiased; C) It will be efficient but not consistent or unbiased; D) It will be efficient and unbiased but not consistent; E) It will be consistent and unbiased but not efficient

*Note:* Correct option: A - It will not be unbiased or efficient

## True / False

6. **Answer:** False

*Options:* A) True; B) False

*Note:* LLM-generated false statement. Correct answer: 'The good is inferior and the income effect is stronger than the substitution effect.'

7. **Answer:** True

*Options:* A) True; B) False

*Note:* LLM-generated true statement based on MCQ.

8. **Answer:** True  
*Options:* A) True; B) False  
*Note:* LLM-generated true statement based on MCQ.
9. **Answer:** True  
*Options:* A) True; B) False  
*Note:* LLM-generated true statement based on MCQ.
10. **Answer:** False  
*Options:* A) True; B) False  
*Note:* LLM-generated false statement. Correct answer: 'costs will tend to rise'.

## Long Form Response

11. **Answer:** Structural unemployment. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.  
*Note:* Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Imports represent spending on foreign goods inducing production abroad, while exports increase domestic production and create jobs.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.  
*Note:* Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

*End of Answer Key*